



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

The examination paper was three hours in duration and consisted of seven questions. The marks allocation among the nine major topics of this examination paper is as follows:

1. Company Law	35%
2. Law for Public Companies	10%
3. The Hong Kong Legal System	10%
4. Law of Tort and Negligence	10%
5. Law of Contract	10%
6. Law of Consumer Protection	10%
7. Law of Employment	5%
8. Law of Bribery and Corruption	5%
9. Law of Agency	5%

The syllabus is wide and covers many important business and company law topics. The lack of adequate preparation for the whole syllabus may be one of the possible causes of poor performance. It is necessary for candidates to obtain adequate knowledge of all topics in the syllabus in order to prepare themselves to be professional accountants in the future.

The examination paper represented a reasonably balanced reflection of the whole syllabus. In general, candidates performed well in company law and the law of contract as these are popular topics for examination. This can be seen from Question 1(a) for the law of contract, Question 2(b) for company winding-up and Question 5 for corporate legal personality.

Candidate performance was weaker for less popular topics such as retention of title and ownership clause and insider dealings, which can be seen from Question 6 and 7 respectively.



Candidates wrote a lot on questions which they were familiar with while they wrote very little or nothing for questions in which they were not confident. It seems that candidates may have bad time management or inadequate knowledge of less popular topics.

Besides, candidates tended to write what they knew in the topic and did not focus on the issues of the question. This can be seen in Question 1(a) where some candidates wrote other elements of contract which did not wholly relate to the issues of the question.

Specific Comments

Question 1 – 25 Marks

This question required candidates to discuss the laws of contract, anti-corruption, employment and agency. Candidates' performance was good in general. Candidates were able to identify and discuss the issues of the questions. However, the answers were not well organised.

Question 2 – 25 Marks

This question required candidates to discuss unfair prejudicial remedies and the ground of winding-up. Candidates' performance was good. Candidates were able to identify and discuss the issues of unfair prejudicial remedies and winding-up.

Question 3 – 10 Marks

This question required candidates to discuss the civil law courts in Hong Kong. Candidates did not perform well on this question. Candidates showed a lack of preparation and understanding of civil law courts in Hong Kong.

Question 4 – 10 Marks

This question required candidates to discuss the law of tort and proximity. Candidates' performance was satisfactory. Candidates were able to identify and discuss the auditor's liability for negligent misstatement. Yet, some answers were superficial and lacked focus on the issue of proximity.

Question 5 – 10 Marks

This question required candidates to discuss the principles of separate legal entity, limited liability, and its exceptions. Candidates' performance was good in general. Yet, some candidates were unable to explain the justifications for lifting the corporate veil.



Question 6 – 10 Marks

This question required candidates to discuss the rules of retention of title and ownership clause and its validity. Candidates' performance was poor in general. Many candidates did not attempt this question. Candidates showed a lack of preparation and understanding of retention of title and ownership clause.

Question 7 – 10 Marks

This question required candidates to discuss and explain insider information and insider dealings. Candidates' performance was poor. Many candidates did not attempt this question or attempted this question with no adequate understanding and knowledge of insider dealings. Candidates demonstrated inadequate preparation of insider dealings in this question.

(II) Conclusion and Recommendation

Overall speaking, the syllabus of this examination paper covered a wide range of important business and company law topics, which aimed to test the candidates' understanding of these topics and their ability to apply their knowledge in practical scenarios.

It is suggested that candidates should understand how to achieve better performance for this examination. Candidates should prepare themselves with all topics in the syllabus and discuss the issues of the questions in a reasonable and logical manner. Candidates are also reminded to make use of case law and legislation to support their arguments and views in their own words.

Some candidates did not have adequate knowledge of all topics in the syllabus, and were not well prepared themselves with changes to the regulatory frameworks in business and company laws. The answers were sometimes superficial. Some candidates were only able to state the general legal principles and were unable to give good analysis of the issues of the questions. Some answers lacked legal authorities and did not make good use of case law and legislation. Moreover, some answers contained English spelling or grammatical mistakes.